

Budget impact of Medicaid coverage of Wegovy and Zepbound for obesity

A state Medicaid programme of 1,000,000 enrollees, five years, incremental to no coverage.

Central case (years 3–5 plateau, prior authorization as observed in the covering states (multiplier 1.0), rebate 51.2% = midpoint of 23.1% and 79.3%): five-year net cost \$161.3 million, \$2.69 per enrollee per month; gross \$330.7 million.

Probabilistic sensitivity (10,000 draws): median \$145.4 million, 90% interval \$58.1 to \$319.9 million.

At the announced \$245 per monthly prescription: \$68.3 million (PMPM \$1.14) in the plateau scenario.

What is measured: incremental prescriptions per 1,000 enrollees from Module C (observed fills, so discontinuation is already in the uptake); SDUD gross cost per prescription; NHANES eligible share; adult share of enrollment.

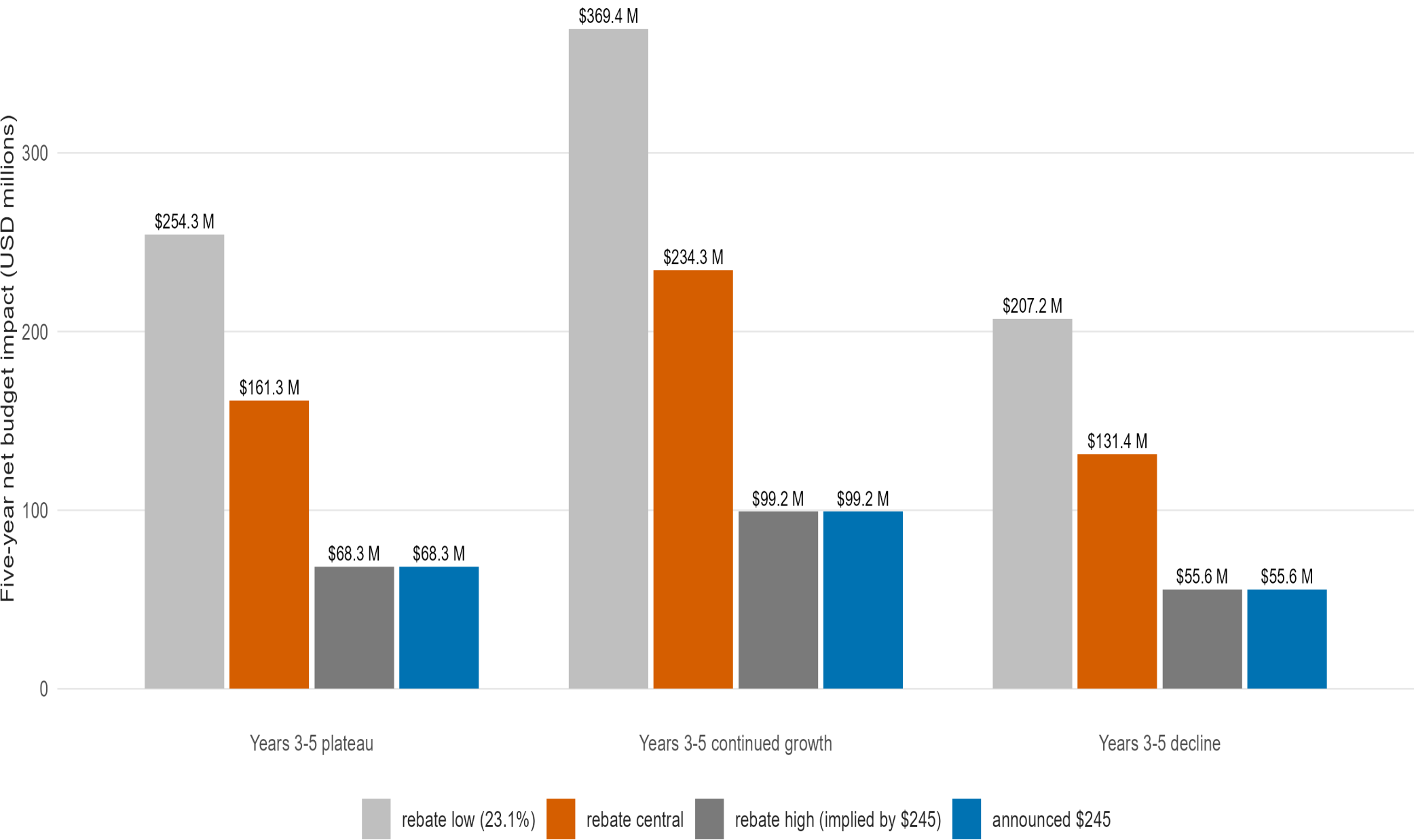
What is assumed: rebates (23.1% statutory minimum to the rebate implied by \$245), prior authorization multiplier (tight 0.5 to 0.75, loose up to 1.25; central 1.0 = as observed), years 3–5 scenarios, one prescription = one month. SDUD amounts are gross of rebates.

Scenarios, not forecasts; no medical cost offsets are included. Source: CMS SDUD, Medicaid enrollment, NHANES; 42 U.S.C. 1396r–8; White House fact sheet (Nov 2025).

Central scenario by year (1,000,000 enrollees)						
Descriptions	Gross cost	Net cost	Net PMPM	Users	Net cost per user per year (4.3 fills, MEPS)	Net cost per member-year of continuous treatment
	\$23,405,578	\$11,416,541	\$0.95	4,546	\$2,511	\$6,943
	\$62,165,691	\$30,322,566	\$2.53	12,075	\$2,511	\$6,943
	\$81,717,510	\$39,859,359	\$3.32	15,873	\$2,511	\$6,943
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Scenario 1: 2025-2029						
		Years 3–5	Price or rebate	Five-year gross	Five-year net	PMPM
plateau			rebate low (23.1%)	\$330.7M	\$254.3M	\$4.24
growth			rebate low (23.1%)	\$480.4M	\$369.4M	\$6.16
decline			rebate low (23.1%)	\$269.4M	\$207.2M	\$3.45
plateau			rebate central	\$330.7M	\$161.3M	\$2.69
growth			rebate central	\$480.4M	\$234.3M	\$3.91
decline			rebate central	\$269.4M	\$131.4M	\$2.19
plateau			rebate high (implied by \$245)	\$330.7M	\$ 68.3M	\$1.14
growth			rebate high (implied by \$245)	\$480.4M	\$ 99.2M	\$1.65
decline			rebate high (implied by \$245)	\$269.4M	\$ 55.6M	\$0.93
plateau			announced \$245	\$330.7M	\$ 68.3M	\$1.14
growth			announced \$245	\$480.4M	\$ 99.2M	\$1.65
decline			announced \$245	\$269.4M	\$ 55.6M	\$0.93

Five-year net cost for 1,000,000 enrollees ranges from \$55.6M to \$369.4M across years 3-5 scenarios and rebate or price assumptions; central \$161.3M

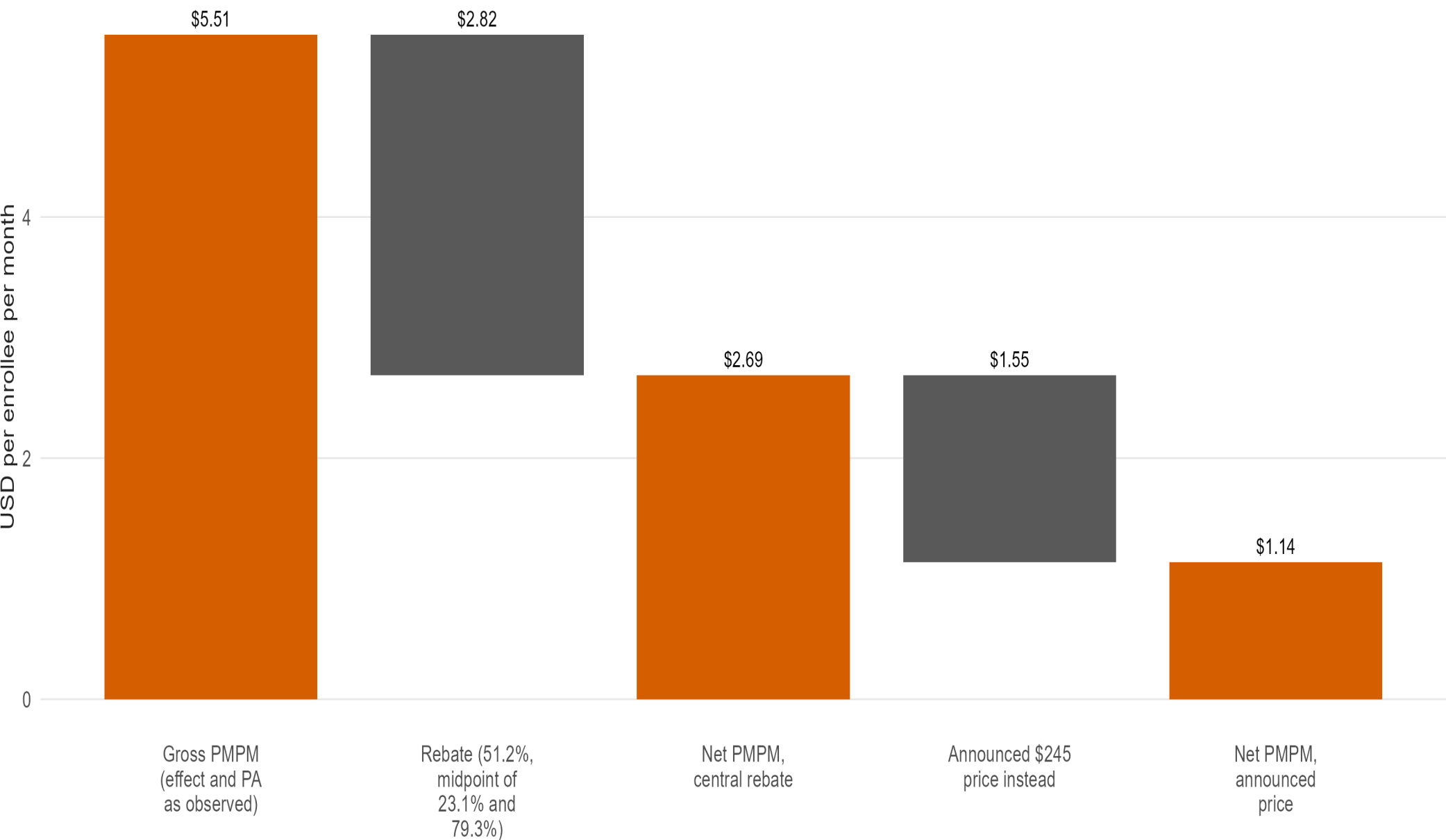
Net cost by years 3-5 scenario and by rebate or price assumption (prior authorization as observed, multiplier 1.0; incremental to no coverage).



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Per enrollee per month, a gross cost of \$5.51 falls to a net \$2.69 after a rebate of 51.2% (midpoint assumption), and to \$1.14 at the announced \$245 price (five-year average, 1,000,000 enrollees)

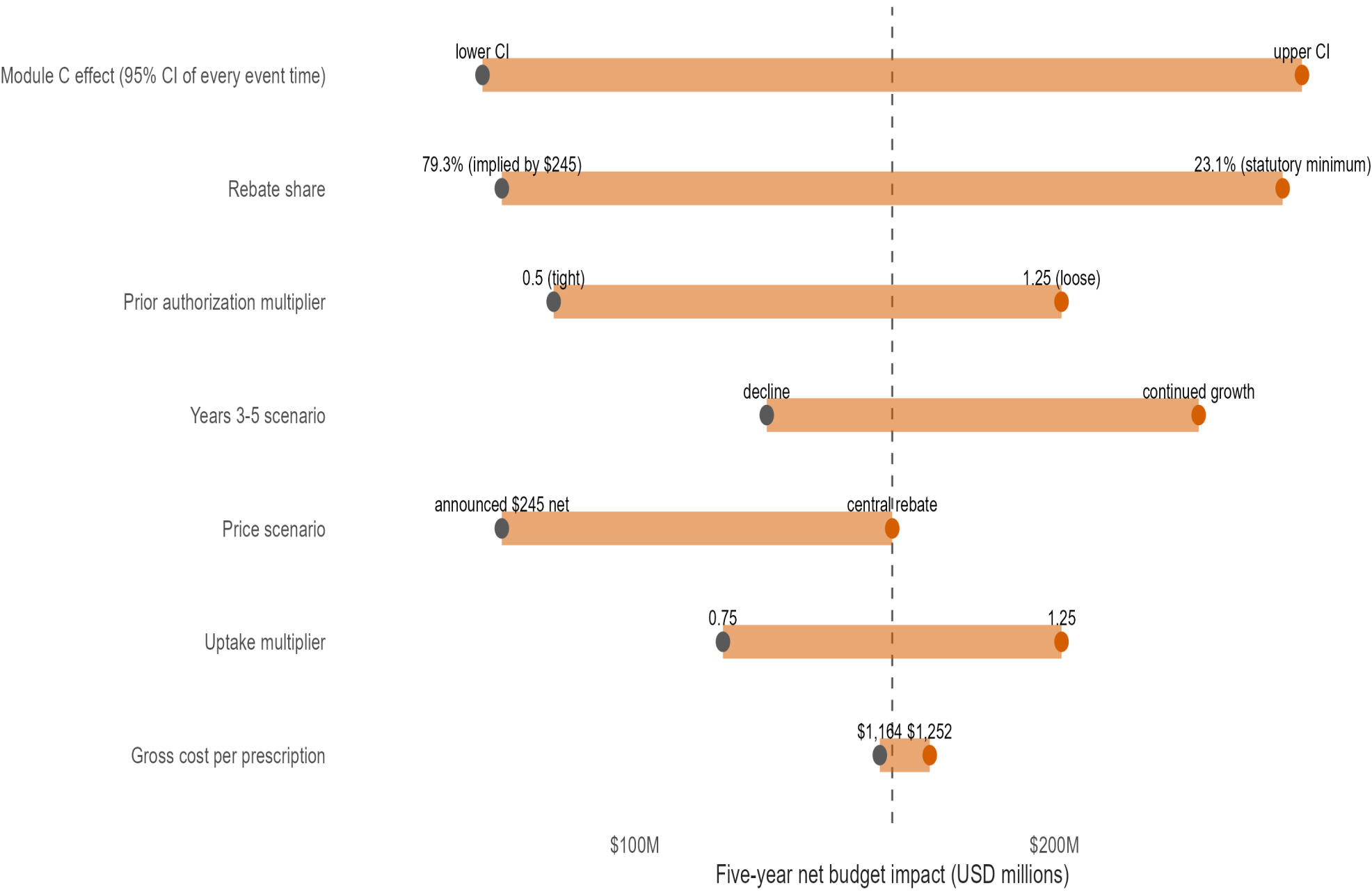
Waterfall from gross PMPM (effect and prior authorization as observed in the covering states) to net PMPM. The rebate step is an assumption; the \$245 price is an announced programme price.



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Five-year net budget impact for 1,000,000 enrollees is \$161.3M in the central case; the widest swings are Module C effect (95% CI of every event time) (\$63.7M to \$258.9M) and Rebate share

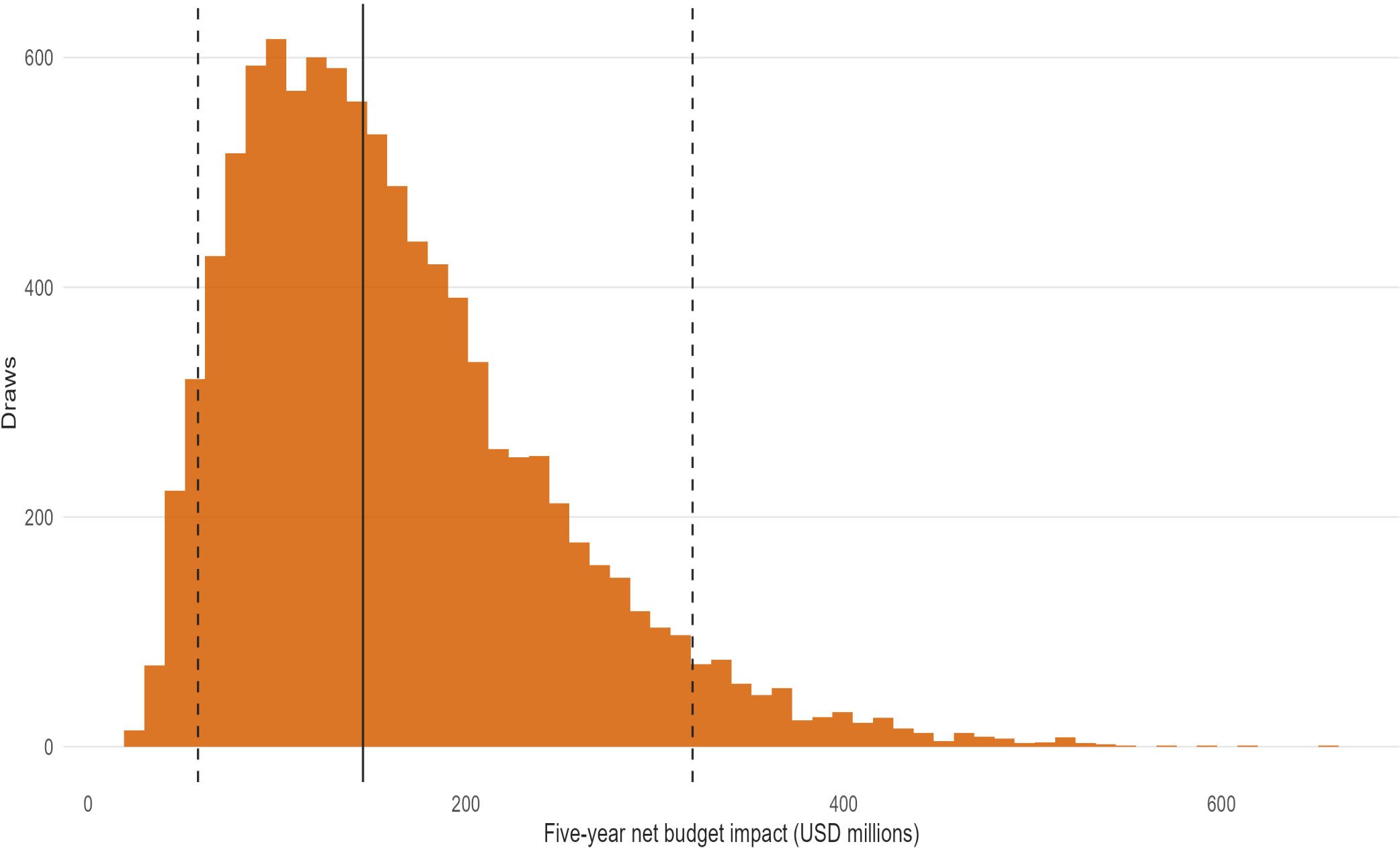
One-way sensitivity: each parameter moved across its range with the others at central values (incremental to no coverage; central = plateau, PA as observed, rebate 51.2% = midpoint of 23.1% and 79.3%).



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.

Across 10,000 draws the five-year net budget impact has a median of \$145.4M (90% interval \$58.1M to \$319.9M); PMPM median \$2.42

Probabilistic sensitivity analysis: Module C effects drawn from their SEs (independent event times; perfect correlation gives \$50.3M to \$347.3M), gross cost, rebate, prior authorization multiplier and years 3-5 scenario drawn from their ranges. 1,000,000 enrollees.



Source: Module C estimates (CMS State Drug Utilization Data, Medicaid enrollment); SDUD gross reimbursement; statutory rebate floor 42 U.S.C. 1396r-8; White House fact sheet Nov 2025. SDUD amounts are gross of rebates; rebates, prior authorization and years 3-5 are assumptions.